

MODEL QUESTION PAPER

REVISION 2010
SUB CODE: 3117

Reg.No.....
Signature.....

THIRD SEMESTER DIPLOMA EXAMINATION IN COMPUTER APPLICATION AND
BUSINESS MANAGEMENT

FINANCIAL MANAGEMENT

Time: 3hrs

Max. Marks:100

PART-A

I. Answer the following questions in one or two sentences

- | | |
|---|---|
| 1. Define financial Management | 2 |
| 2. Define Financial Plan | 2 |
| 3. State the meaning of 'Term Finance' | 2 |
| 4. Define Net working Capital | 2 |
| 5. State the meaning of 'Quick Assets.' | 2 |

5 X 2 Marks= 10 Marks

PART B

II. Answer Five questions out of Seven. (Each question carries 6 marks)

- | | |
|--|---|
| 1 State the defects of Traditional concept of finance | 6 |
| 2 List the Internal sources of financial information | 6 |
| 3 Describe the advantages of Equity shares | 6 |
| 4 Outline the functions of I.F.C | 6 |
| 5 Define Watered Capital. What are its causes? | 6 |
| 6 State the importance of inventory management | 6 |
| 7 Calculate the value of Closing Stock, from the following details | |
| Current Ratio - 2.5: 1 | |
| Quick ratio – 1: 1 | |
| Current Liabilities – Rs. 30,000 | |
| Prepaid Expenses – Rs. 5,000 | 6 |

PART C

(Answer one full question from each unit. Each question carries 15 marks)

MODULE - I

III. 1. Explain the importance of Financial Plan 15

OR

- | | |
|--|---|
| IV 1. List the external sources of financial information | 8 |
| 2. State the limitations of financial plan | 7 |

MODULE – II

V. Explain the role of various financial institutions in meeting the financial requirements of industry 15

OR

VI. State the principles in the allocation of funds for fixed assets and current assets 15

MODULE III

VII A project costs Rs. 50,000 and has a scrap value of Rs. 10,000. Its stream of income before depreciation and taxes during first year through five years is Rs 10,000, Rs. 12,000 Rs. 14, 000, Rs. 16,000 and Rs. 20,000. Assume a 50 per cent tax rate and depreciation on straight line basis. Calculate the accounting rate or return (ARR) for the project. 15

OR

VIII Critically evaluate the theories of Capitalisation 15

MODULE – IV

IX. Explain different types of ratios. 15

OR

X The following figures relate to the trading activities of XY LTD. for the year ended 30th June 2010:

	Rs		Rs
Sales	5,20,000	Administrative expenses:	
Purchases	3,22,250	Salaries	27,000
Opening Stock	76,250	Rent	2,700
Closing stock	98,500	Stationery, Postage etc.	2,500
Sales returns	20,000	Depreciation	9,300
Selling & distribution expenses:		Other charges	16,500
Salaries	15,300	Provision for taxation	40,000
Advertising	4,700	Non-operating Income :	
Travelling	2,000	Dividend on shares	9,000
Non-operating expenses:		Profit on sale of shares	3,000
Loss on sale of assets	4,000		

You are required to (1) rearrange the above figures in a form suitable for analysis, and (2) show separately the following ratios: (i) Gross profit ratio; (ii) Operating ratio; (iii) Stock turnover ratio.